

August 11, 2026 08:25 PM GMT

Asia Economics | Asia Pacific

The Viewpoint: Growing Evidence Confirms Recovery is Broadening Out Beyond AI

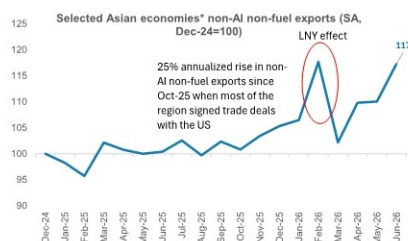
Exports, capex and consumer spending data show that the growth trend is broadening out well beyond AI. We expect non-tech exports and non-tech capex to lift the labour market further and drive an acceleration in consumption growth.

Key Takeaways

- Investors have been skeptical about this recovery cycle broadening beyond AI.
- Over the last three months, we have seen more evidence of the recovery broadening out. We offer three pieces of evidence.
- First, while semis exports are still very strong, non-semis non-AI related exports are picking up in a broad-based manner and are at an eight-year high.
- Second, as non-AI related capex accelerates, capital goods imports outside of tech are showing strength.
- Finally, consumption is continuing to improve gradually, and we expect non-tech exports and capex to drive further acceleration.

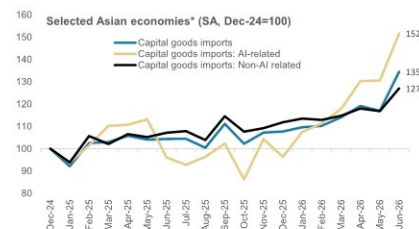
In this report, we present evidence of how Asia's growth story is broadening beyond AI.

Exhibit 1: Non-AI related exports growing at a 25% annualized pace since October



Source: CEIC, Morgan Stanley Research; Note: *Due to sectoral exports data availability issue, we include only China, India, Indonesia, Korea, Taiwan, Australia and Japan, which account for 76% of region's exports. Jun-26 as estimates.

Exhibit 2: On a sequential basis, non-AI related capital goods imports have been on a steady uptrend even before AI-related capital goods imports began inflecting meaningfully



Source: CEIC, Morgan Stanley Research; Note: *Due to sectoral exports data availability issue, we include only China, India, Indonesia, Korea, Malaysia, Taiwan, Australia and Japan.

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Asia Summer School 2026

Details

Our thesis – this capex and industrial super-cycle is not just about AI

Asia is entering what we think will be its strongest industrial cycle since the mid-2000s, underpinned by a sustained, multi-year rise in capex (see [Asia Economics: Headed Towards an Industrial Super-Cycle](#), 27 April 2026). The drivers are no longer confined to semiconductors. While AI and AI related infrastructure are important, energy investment, defense outlays and investment to secure industrial supply chains are also key pillars to what will sustain the region's overall capex spending and the industrial super-cycle. What's more, these will then create second-order demand for other products and create positive spillovers through the supply chain and lead to a broader industrial capex cycle too.

This dynamic matters especially for Asia because the region is the world's largest industrial base, accounting for nearly half of global industrial value added, and sits at the center of supply chains needed for AI hardware, semiconductors, energy-transition inputs, defense equipment, intermediate goods, and capital goods. As global capex rises and Asia's own domestic capex accelerates, the region stands to benefit twice: through stronger export demand and through a self-reinforcing domestic investment cycle that supports production, jobs, wages, consumption, and further capex.

We are confident that this will be a long-duration cycle

First, the drivers behind this capex cycle – AI, energy, defense, and governments' goal of securing industrial supply chains – are all structural rather than cyclical like in 2016-18, which was the last big capex cycle.

Second, corporate sector balance sheets across the US, Europe, and Asia ex China have delevered since Covid and are in a healthy state, which will help ensure the longevity of this cycle. Household balance sheets are in healthy state, too, but we are focused on corporate balance sheets since this is a capex-driven cycle. The healthy private corporate sector balance sheets suggest that there is meaningful room available to fund and sustain the private capex cycle. More importantly, it also implies a buffer to mitigate the downside and potential non-linear risks that could result in greater swings in corporate confidence than prior cycles.

Third, the interest rate hikes we expect in the coming months will be countercyclical in nature and in reaction to strong growth outcomes. If capex and growth surprise on the upside, then central banks will hike more. But this will still be less disruptive to the cycle as it will be of a counter-cyclical nature.

But investors have been and remain skeptical: The debate is all about AI capex and its outlook and the implications should AI capex slow. Most investors are still of the view that everything in this cycle is being driven by AI – for instance, even when we raise energy as one of the drivers – the immediate reaction is that the increased energy demand is all for feeding AI anyway, which is not the case as we explain below.

We offer three pieces of evidence for why the recovery is broadening

As always, we have to turn to data. We highlight exports, capital goods imports, and consumption indicators as the key metrics to track.

1) Exports

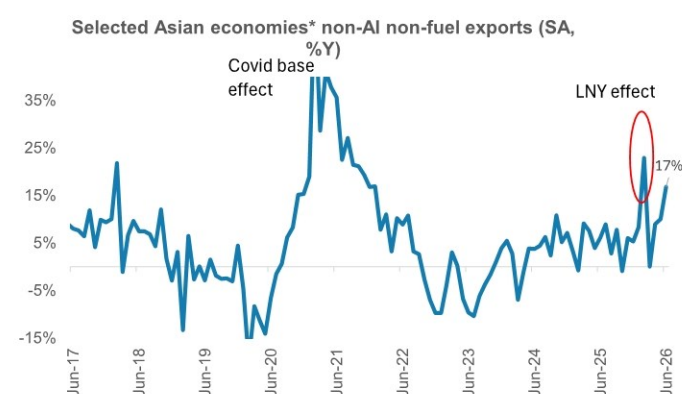
Why this data matters: Exports remain an important driver of Asia's growth. Although semiconductors account for 15% of the overall export basket, they generate limited spillover effects for the broader economy. Non-semiconductor AI-related exports, with computers as the key component, should provide somewhat greater spillovers but remain relatively capital intensive. By contrast, non-tech exports represent a larger share of the export basket and are likely to generate stronger positive spillovers, which is why we have been tracking them more closely.

What the data is telling us: We can look at this from two angles – exports by product or exports by destination. The data confirms that the export cycle is broadening across both.

a) Non-AI related export growth is now at an 8-year high: For most of 2025, the strength in Asia's exports was driven almost entirely by semis and other AI-related goods including computers, storage devices as well as data processing devices. While AI-related export strength has continued, non-AI related exports have also started to pick up sequentially and are now growing at 25% on an annualized basis since October 2025 when most of the economies in the region signed traded agreements with the US. In YoY terms, non-AI related exports are now growing at 17%Y, an 8-year high (ignoring the Covid base effect-led spike).

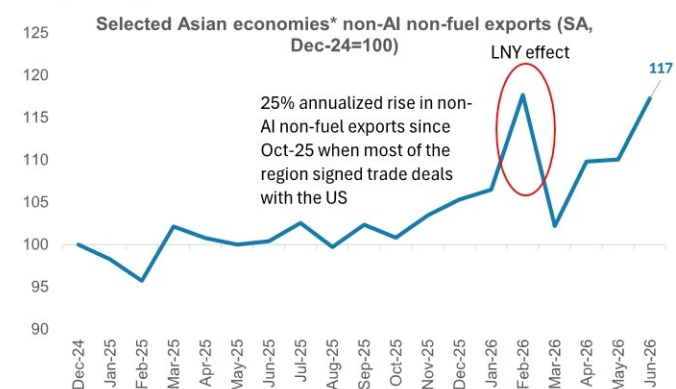
There is broad-based strength across non-AI related sectors: We segment non-AI exports into three groups – capital goods, intermediates and consumer goods. Intermediates exports, which include products such as crude materials, chemicals, metals, textiles have seen the biggest acceleration, followed by non-AI capital goods and then finally consumer goods. Even consumer goods exports, which were initially lagging, have picked up pace since April.

Exhibit 3: Non-AI related exports growth now at an 8-year high



Source: CEIC, Morgan Stanley Research; Note: *Due to sectoral exports data availability issue, we include only China, India, Indonesia, Korea, Taiwan, Australia and Japan, which account for 76% of region's exports. We identify the AI-related products as semiconductors, computers and storage systems, semiconductor manufacturing/assembly/testing equipment and parts, semiconductor wafers and photomasks, optical fibre components, and semiconductor/telecom measurement and inspection instruments. Jun-26 as estimates.

Exhibit 4: On a sequential basis, non-AI related exports are now growing at a 25% annualized pace since October



Source: CEIC, Morgan Stanley Research; Note: *Due to sectoral exports data availability issue, we include only China, India, Indonesia, Korea, Taiwan, Australia and Japan, which account for 76% of region's exports. Jun-26 as estimates.

Exhibit 5: Within non-AI related goods, we see broad-based strength across capital goods, intermediate goods and consumer goods exports

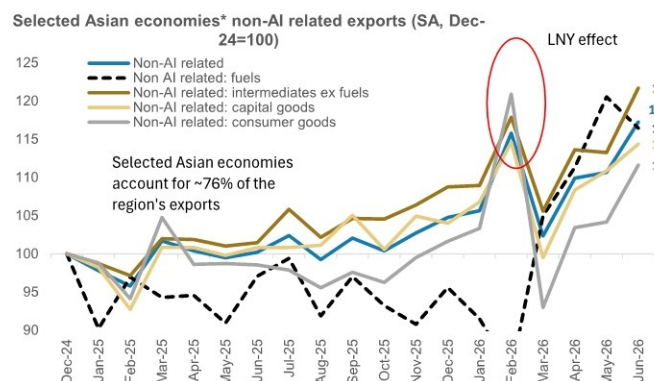
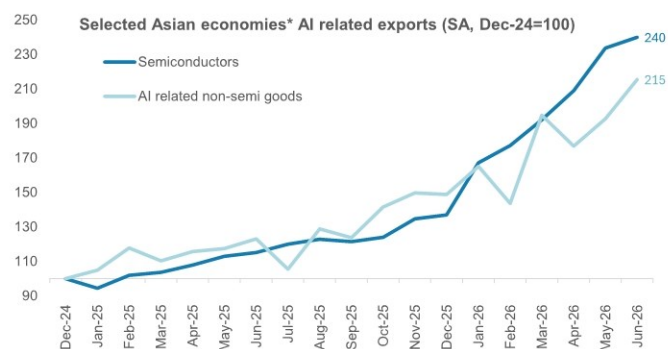


Exhibit 6: Semis and other AI-related exports continue to see strong momentum



b) Exports by destination

Broad-based rise in exports by destination: The strength in Asia's exports is also now broadening across destinations. While exports to the US have been strong, intraregional exports have led the recovery since October. In our view, this reflects the fact that the domestic capex cycle underway in Asia is itself a key driver of the export cycle. Even exports to the Middle East, which had been dented by the US-Iran conflict, have started recover in the last two months.

Exhibit 7: Broad-based rise in exports by destination...

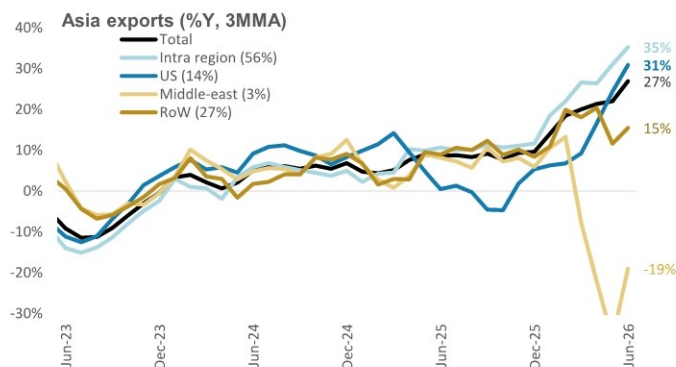
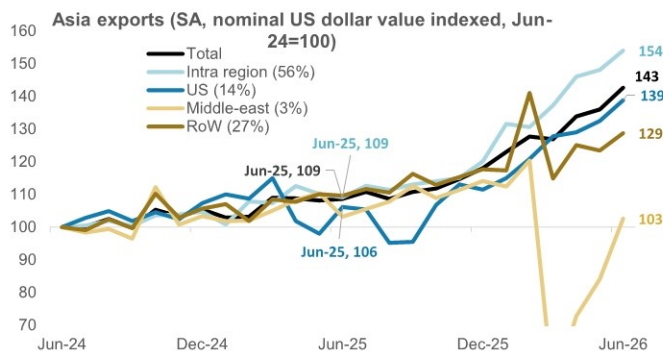


Exhibit 8: ...led by intra-regional exports and exports to the US



2) Capital Goods Imports

Why this data matters: Within import trends, we are most focused on capital goods imports – our preferred high frequency capex indicator. This is because we believe this is a capex-driven cycle. Robust capex growth will mean labour market conditions will improve as there will be more hiring – which will sustain the expansion for longer.

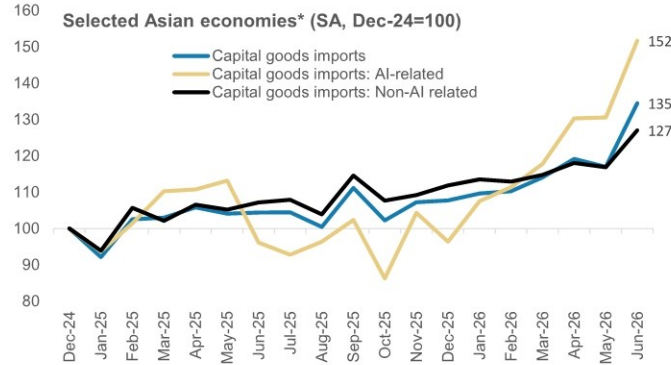
What is the data telling us? Synchronizing capex recovery across AI and non-AI related segments: Notwithstanding Covid and GFC-driven base effects, Asia's capital goods imports have now reached the strongest rates since the 2000s. To verify how broad-based the capex momentum is, we further divide capital goods imports into AI-related and non-AI-related components. While the strength in AI-related capital goods imports is not surprising, non-AI related capital goods imports have also accelerated to 18%Y, the strongest since May-18 (ignoring Covid base effects). Sequentially, non-AI related capital goods imports have been on a steady uptrend since 2H25, even before AI related capital goods imports began inflecting meaningfully in 2026. On an annualized basis, non-AI related capital goods imports are growing at 28% since Oct-25.

Exhibit 9: Notwithstanding Covid and GFC-driven base effects, Asia's capital goods imports have now reached the strongest rates since the 2000s



Source: CEIC, Morgan Stanley Research

Exhibit 10: On a sequential basis, non-AI related capital goods imports have been on a steady uptrend even before AI related capital goods imports began inflecting meaningfully



Source: CEIC, Morgan Stanley Research; Note: *Due to sectoral exports data availability issue, we include only China, India, Indonesia, Korea, Malaysia, Taiwan, Australia and Japan.

Exhibit 11: On an annualized basis, non-AI related capital goods imports is growing at 28% since Oct-25

Source: CEIC, Morgan Stanley Research; Note: *Due to sectoral exports data availability issue, we include only China, India, Indonesia, Korea, Malaysia, Taiwan, Australia and Japan.

How big will non-AI non-semis capex be? In Asia, we estimate that energy, defense and broader industrial capex will be multiple times the size of AI hyperscaler and semiconductor companies' capex. In 2026, we expect energy capex to reach US\$900 billion, whereas AI and semiconductor companies' capex is estimated to add up to US\$380bn (US\$130bn in hyperscaler capex and US\$250bn for semiconductor companies' capex). Indeed, as it relates to AI-related spending in Asia, the estimated levels are much lower as compared to the US (US\$130bn in Asia in 2026 vs. US\$820bn in the US) and this spending accounts for only a relatively small proportion of the overall US\$12 trillion capex in Asia. Even when we look at the delta in annual capex for AI plus semiconductor capacity buildout, it will be smaller than non-AI non-semis capex. Relatedly, our Asia energy research analyst Mayank Maheshwari estimates that within the US\$100bn delta in additional energy capex expected in 2027, AI would only account for US\$35bn. Instead, other drivers such as capex to meet steady-state power demand growth, energy transition and energy security related spending will account for a larger share. Similarly, Mayank highlights that while AI is an important driver for Asia's power demand growth going forward, it is also not the biggest driver. Instead, industrial, residential and commercial power demand will be bigger contributors to the delta in energy demand through to 2030.

Exhibit 12: Our forecasts for Asia's capex in 2026 and 2030

	US\$bn							
	Total capex (f+g+h)	AI hyperscaler spending (a)	semis mfg capex (b)	Hyperscaler and semis manufacturing capex (c)	Energy capex (d)	Defense capex (e)	New structural demand drivers (a+b+c+d+e=f)	Broader machinery, equipment and IIP capex (g)
2026E	12140	130	250	380	900	260	1540	4000
2030E	15580	290	430	720	1350	570	2640	5240
Delta	3440	160	180	340	450	310	1100	1240

Source: Morgan Stanley Research forecasts

Exhibit 13: Data centers expected to be one of but not the biggest driver of Asia's power demand growth through to 2030



Source: Morgan Stanley Research estimates

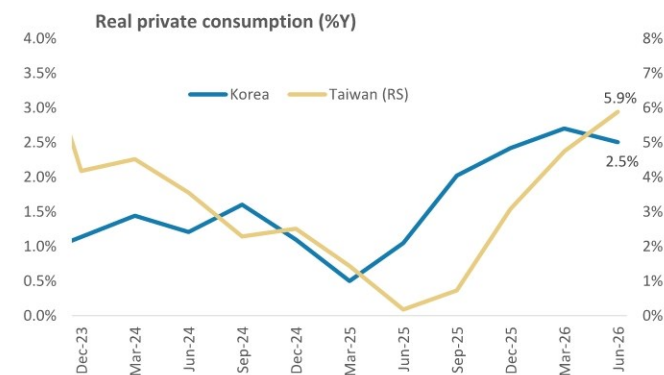
3) Private Consumption

Why this data matters: Consumption is the most important indicator to confirm the broadening out story.

What is the data telling us – Consumption is gradually recovering in several economies in the region: As non-tech exports and non-tech capex momentum is accelerating, we are beginning to see this leading to better labour market conditions and in turn recovery in consumption growth. The region excluding China has thus far seen a more meaningful and broad-based recovery in consumption, while China's recovery is still lagging. That said, as non-commodity sector profit margins and wage growth show nascent signs of improvement in China and policymakers are expected to accelerate the pace of fiscal rollout, we expect a modest improvement in China's consumption over the coming months.

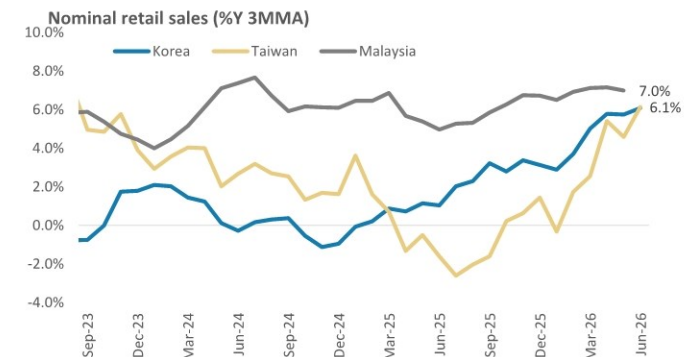
- **In Korea and Taiwan,** June retail sales growth accelerated to 46- and 28-month highs, respectively, while **Malaysia's** retail sales growth has also remained strong as of May. Meanwhile, Korea's and Taiwan's 2Q GDP advance estimates have also surprised to the upside. Underpinning this has been stronger wage growth and positive wealth effects from equity markets performance in 1H26. While investors have questioned if the recent correction in the respective equity markets could now pose downside risks to the consumption outlook via negative wealth effects, our Korea economist Kathleen Oh notes that the YoY KOSPI level rather than monthly momentum is more meaningfully correlated with consumption indicators (see [South Korea: Mild Consumption Impact from Recent Market Moves](#), 6 Aug 2026). With KOSPI up close to 100%Y, our Korea consumer analyst Kelly Kim also highlighted that July department store sales have held up.

Exhibit 14: Korea and Taiwan consumption growth has picked up



Source: Haver, Morgan Stanley Research

Exhibit 15: Monthly retail sales growth suggests momentum further strengthened in June



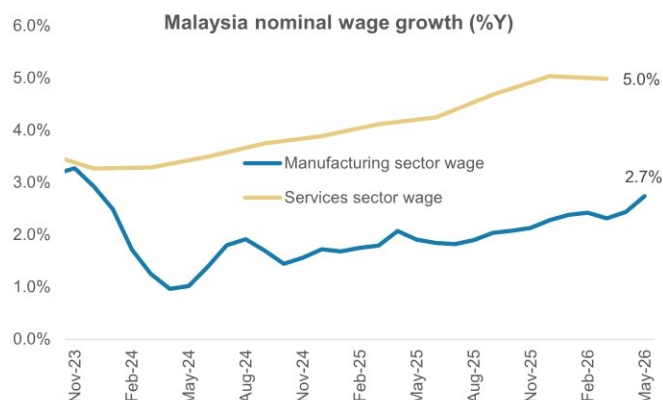
Source: CEIC, Morgan Stanley Research

Exhibit 16: Consumption momentum supported by robust regular wage and bonus payment trend



Source: CEIC, Haver, Morgan Stanley Research; Note: Includes wages and bonus payment

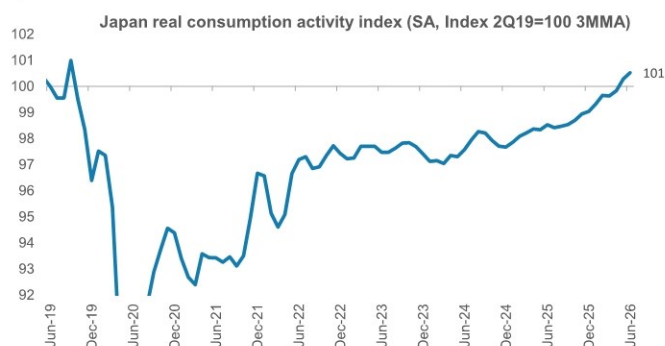
Exhibit 17: We see a similar trend playing out in Malaysia as well



Source: CEIC, Morgan Stanley Research

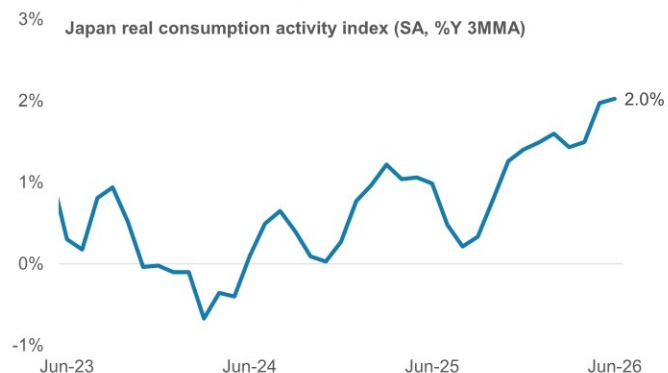
- **In Japan**, the real private consumption index has now returned to pre-Covid levels and has accelerated to a 38-month high of 2%Y on a three-month trailing average basis in June (notwithstanding some payback in June data from earlier policy-induced frontloaded purchases), supported by a positive real wage growth trend in recent months. While real wage growth is likely to temporarily dip back into negative territory amid acceleration in headline inflation in 2H26, the relatively robust Shunto wage negotiation outcomes suggest nominal wage growth and consumption should be supported.

Exhibit 18: Japan's real private consumption index has returned to pre-Covid levels



Source: CEIC, Haver, Morgan Stanley Research

Exhibit 19: On a YoY basis, real private consumption has accelerated to a 38-month high

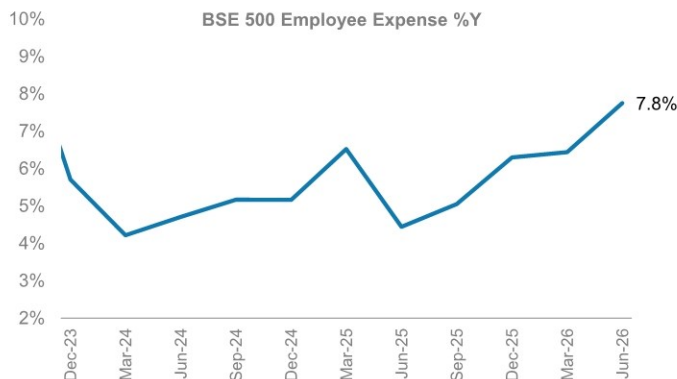


Source: CEIC, Haver, Morgan Stanley Research

- **In India**, a series of supportive policy measures since 2025 – including income tax and interest rate cuts, a GST cut and regulatory easing on bank and non-bank lending have boosted consumption momentum. Importantly, wage growth has also been on an improving trend and picked up to 7.8%Y in 2Q26, compared to a trough of 4.4%Y one year ago. Incoming high frequency indicators continue to indicate that momentum has been strong, with both passenger vehicle and two-wheeler

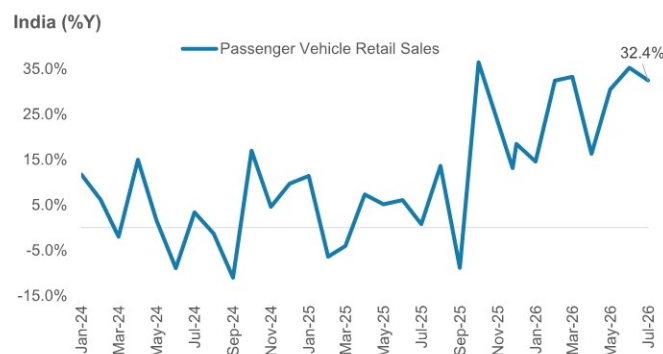
sales growth at near cycle highs in July. Household loan growth has also sustained above 15%Y for the fifth consecutive month, in part also benefiting from the recovery in unsecured personal lending growth amid RBI regulatory easing.

Exhibit 20: Wage growth has also been on an improving trend and picked up to 7.8%Y in 2Q26, compared to a trough of 4.4%Y one year ago



Source: Capitaline, Morgan Stanley Research

Exhibit 22: ...and passenger vehicle sales growth continue to accelerate



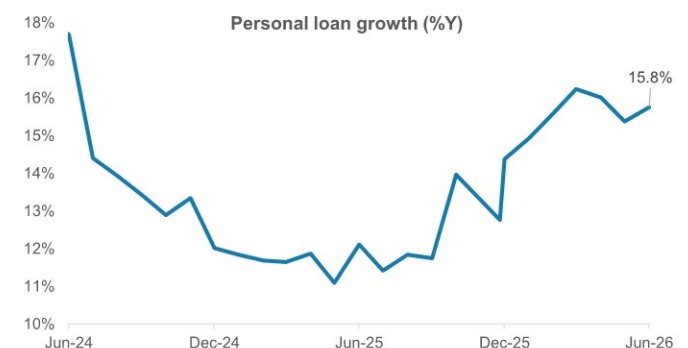
Source: CEIC, Haver, Morgan Stanley Research

Exhibit 21: Two-wheeler sales...



Source: CEIC, Haver, Morgan Stanley Research

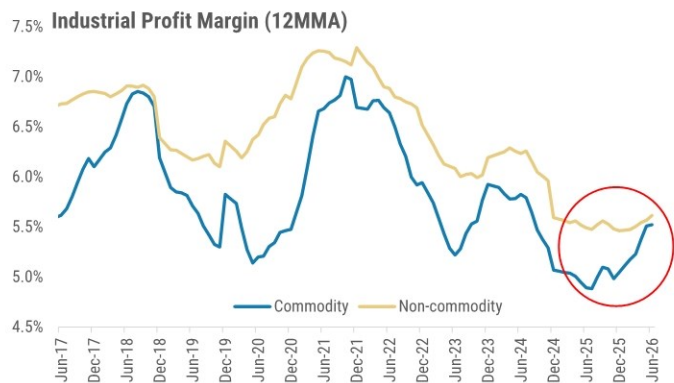
Exhibit 23: Household loan growth has sustained above 15%Y for the fifth consecutive month



Source: CEIC, Haver, Morgan Stanley Research

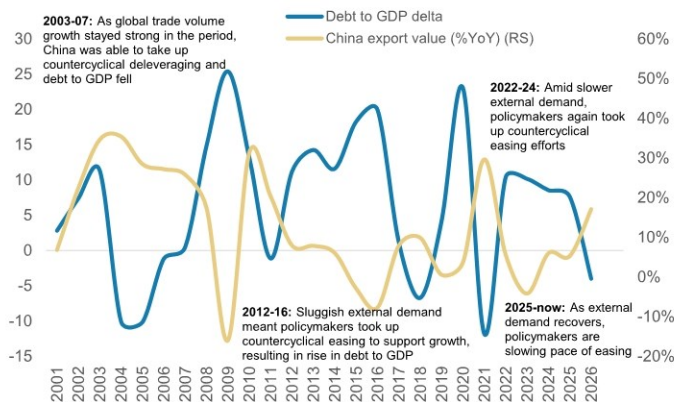
- China – consumption recovery is only just starting:** In China, we had flagged that a combination of cyclical and structural factors were weighing on consumption and broader reflation (see [The Viewpoint: China – Tracking Progress on Reflation](#), 23 Jun 2026). However, as the exports recovery further broadens out, we expected that would gradually improve non-commodity sector profit margins and hence wage growth with a lag. We are now seeing nascent signs that cyclical headwinds on consumption are modestly easing at the margin. Non-commodity sector profit margins have modestly improved. Reflecting this, household income growth also improved to 5.6%Y in 2Q (vs. 4.9% in 1Q). The augmented fiscal deficit – which had narrowed by 2.2pp to 11% of GDP – is also now beginning to widen at the margin. We expect policymakers to continue to accelerate the pace of rollout of fiscal stimulus over coming months after the undershooting of 2Q growth relative to the GDP target range.

Exhibit 24: As the export recovery further broadens out, non-commodity sector profit margins are showing gradual signs of improvement



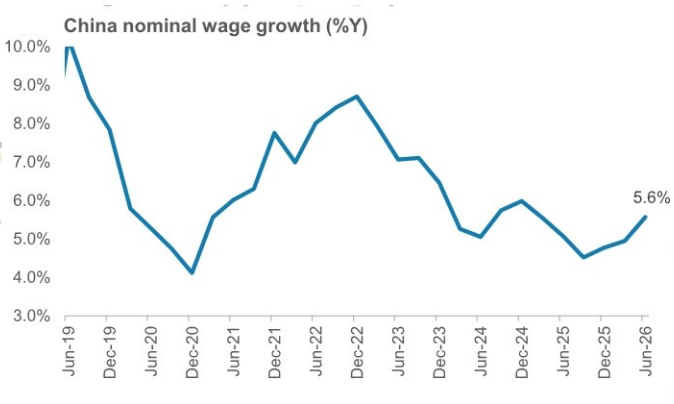
Source: CEIC, Morgan Stanley Research

Exhibit 26: Countercyclical tightening in fiscal policy has weighed on 2Q GDP



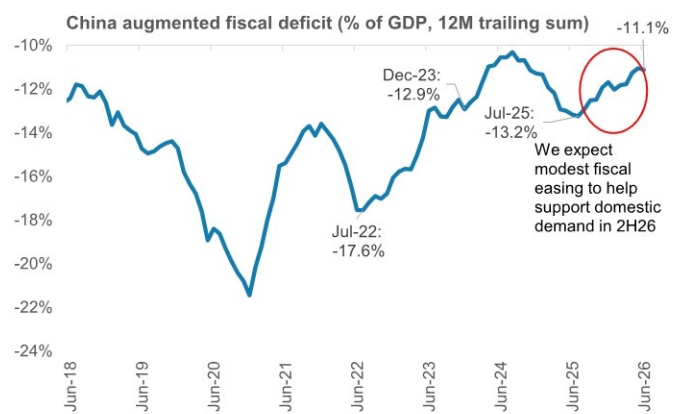
Source: CEIC, Haver, Morgan Stanley Research

Exhibit 25: Better margins enabling corporates to offer better wages



Source: CEIC, Haver, Morgan Stanley Research

Exhibit 27: We are seeing initial signs of reversal in tightening



Source: CEIC, WIND, Morgan Stanley Research

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